



EMPLOYMENT TRIBUNALS

Claimant: Mr David Johnson

Respondent: North West Anglia NHS Foundation Trust

Heard at: Cambridge (by video, in public)

On: 13 February 2025

Before: Employment Judge C H O'Rourke

Appearances

For the Claimant: Ms J Twomey - counsel

For the Respondent: Ms C Jennings - counsel

PRELIMINARY HEARING JUDGMENT

The Claimant was an employee of the Respondent in the time period relevant to this claim.

REASONS

(Written reasons having been requested subject to Rule 62(3))

Background and Issues

1. The Claimant worked for the Respondent, as an orthopaedic surgeon, from 1 June 2023 to the termination of his contract, with effect 3 August 2023.
2. The Respondent considered him to be engaged as an agency worker and stated that due to '*the (unspecified) serious nature of the allegations made against him.*', they were entitled to terminate his agency contract, on one week's notice.
3. This public preliminary hearing was listed to determine the Claimant's employment status and accordingly the Tribunal's jurisdiction to hear his claim of automatic unfair dismissal. An earlier costs application made by the Respondent was withdrawn.

The Law

4. Section 230 of the Employment Rights Act 1996 ('ERA') provides that:

(1) In this Act "employee" means an individual who has entered into or works under (or, where the employment has ceased, worked under) a contract of employment.

(2) In this Act "contract of employment" means a contract of service or apprenticeship, whether express or implied, and (if it is express) whether oral or in writing.

5. Both parties referred to a range of authorities, to which I shall refer, as I consider appropriate, below.

The Evidence

6. I heard evidence from the Claimant and also from a Ms Stacey Mackereth, a staff service manager with the Respondent, both of whom provided witness statements.

7. The Claimant's evidence can be summarised as follows:

- a. He applied for the role via an agency, completing application forms provided by them, but then subsequently completing further forms provided by the Respondent. He also completed the Respondent's lengthy induction process, although he was not interviewed by them.
- b. He did not, in fact, start work until 15 June 2023, due to pre-arranged holiday commitments, for which period he was not paid.
- c. He entered directly into terms of engagement with the Respondent [68-83]. Despite that contract being titled '*contract of engagement; for directly engaged temporary agency workers*', he considered himself to be an employee, as had been the case, he said, on previous locum appointments with other NHS trusts.
- d. He was paid directly by the Respondent (the Agency receiving a commission), via PAYE.
- e. It was not in dispute that to carry out his role, he was required to be fully integrated into the Respondent's organisation, using their medical equipment and IT hardware and software.
- f. Nor was it in dispute that by virtue of the nature of his role and the regulatory requirements attached to it that it would have been impossible for him to have substituted another person if he was unable or unwilling to attend for work.
- g. He was provided an identity badge which stated that he was a '*Locum Consultant Orthopaedic Surgeon*', with the Respondent's title beneath.

(Miss Mackereth agreed this, less that she said that the Claimant's title was not 'Locum', but 'Agency', although she had not seen the actual badge herself.)

- h. While his role was initially described as '8 to 6', or '8.30 to 5.30', he in fact worked shifts on a surgical rota. He said that once the shifts were allocated, the Respondent was obligated to maintain that offer and he was obliged to complete them: there therefore being 'mutuality of obligation'.
- i. He accepted that his pay documents referred to 'assignment number', rather than 'employee number'[84]. He agreed that (apart from overtime), employees at the Trust would not have to complete time sheets, as he did [85]. He also agreed that in the event that, on a shift, there was no work to do and that if he were to leave early, he could not bill for that time, whereas his employed colleagues would be paid, nonetheless, in such circumstances.
- j. He agreed that when he had concerns about his pay, he did raise these with the Agency, seeking their intercession with the Respondent but, he said, only because his previous attempts to do so with the Respondent were ignored [110].

8. Ms Mackereth's evidence can be summarised as follows:

- a. The Claimant was engaged to fill a short-term gap caused by a substantive vacancy, which was going through the recruitment process. The Respondent approached the Agency to fill this gap.
- b. It was the Agency's responsibility to carry out initial vetting of the Claimant and to ensure his CV matched the Respondent's requirements. He was not interviewed by the Respondent.
- c. She agreed that the Claimant was required to complete the Respondent's induction process.
- d. The Claimant was not allocated a line manager but would have been expected to report to the Clinical Lead in his division, who would also sign off his timesheets. However, in practice, she agreed that several other persons actually signed his timesheets, perhaps deputising for the Clinical Lead, if absent or on holiday.
- e. While she accepted that there were various aspects of the contract that indicated a high degree of 'control' over the Claimant, in relation to '*devoting the whole*' of the Claimant's time to the Respondent; holiday requests (clause 6.4) and the application of disciplinary and grievance procedures, she said that, in practice, these clauses were not enforced. She could not explain why such clauses were in the contract, if not relevant to the Claimant. She said that the only Trust policies and procedures referred to in the contract that did apply to the Claimant was the Trust's Resolution/Grievance policy but accepted that this had not been explained to the Claimant. She also agreed, in cross-examination that the assertion in her statement as to only the grievance policy applying to the Claimant

was '*maybe wrong*', as it was clear that other policies, such as use of the intranet (clause 2.6), health and safety (2.7), GDPR and conflicts of interest did apply to him. She also agreed that references to a 'line manager' in the contract did not apply to the Claimant. When asked to explain '*why so many terms were inapplicable*' she said that she '*couldn't*'.

- f. She agreed that the Claimant could have been directed to other duties, or had his role varied. It was obvious that he had to comply with directions given to him; treat the patients allocated to him and use the theatres provided to him.
- g. She agreed that once shifts were allocated to the Claimant, he was expected to work them, and the Respondent was obliged to honour those shifts.

Submissions

9. On behalf of the Respondent, Ms Jennings made the following submissions:

- a. She referred to her skeleton argument as to the law, in particular **Ready Mixed Concrete (South East) Ltd v Minister of Pensions and National Insurance [1968] 1 All ER 433 EWHC** which refers to the well-known criteria for a contract of service: providing a worker's own work and skill; a sufficient degree of control by the employer and the other provisions of the contract being consistent with a contract of service.
- b. The 'whole picture' should be looked at, to include the context of the arrangement; the degree of personal service; the degree of control; the existence of a mutual obligation; the 'reality' of the situation and the true intentions of the parties (**Montgomery v Johnson Underwood Ltd [2001] EWCA ICR 819**).
- c. Relevant factors for consideration are as follows:
 - i. The Respondent did not interview the Claimant, or even speak to him before he was assigned, which would be unthinkable for such a senior person, who was to become an employee.
 - ii. This was a short-term arrangement to fill a gap in a substantive post.
 - iii. It cannot be realistic that the Claimant, as a clearly intelligent man, thought that he was an employee.
 - iv. The 'elephant in the room' is the contract, in which, she had to accept, there were elements indicating employment status, leading to the unusual situation where, instead of relying on the contract, the Respondent is obliged to argue as to the reality of the relationship. In this case, the contract did not reflect the reality of the situation. While it may appear misleading currently this was not the case for the Claimant, at the time.

- v. The references to 'line manager' are, in effect, a 'red herring', as the Claimant neither had a line manager, nor complained of the lack of one.
 - vi. The nature of the appointment dictates the allocation of shifts; the use of the Respondent's equipment and the degree of control exercised over the Claimant.
 - vii. The Claimant could not bill for any sick leave he needed to take, in comparison to employed colleagues who would be able to take advantage of the NHS's relatively generous sick pay provision.
 - viii. If the Claimant did not work his shifts, there was nothing the Respondent could do about it, apart from terminating the contract. If that issue were determinative, then nobody could be a worker.
 - ix. He was treated differently from his colleagues, by his pay arrangements and badge title.
 - x. The requirement for him to complete time sheets and the variance in hours worked each week rules against employment status.
 - xi. He was responsible for his own registration and CPD.
- d. The Claimant knew the reality of the situation, for which he was paid a premium. His tax and NI arrangements are irrelevant

10. On behalf of the Claimant, Ms Twomey made the following submissions:

- a. What is agreed is that there is a written contract between the parties, which sets out the terms of the arrangement between them.
- b. To be clear as to the Claimant's case: he is not saying that he was a permanent employee but accepts that he was on a temporary contract.
- c. Employees are also introduced to employers by agencies, who then earn commission. Merely being introduced by an agency does not make that person an 'agency worker', as described by the Respondent. The Agency was not supplying his work to the Respondent. The title of the contract does not therefore assist the Respondent, but instead they have 'stuck a label' onto to what is, in fact, a contract of employment.
- d. There is nothing in this case to indicate that the Claimant was 'self-employed'. His reference to being '*self-employed or through D Johnson Orthopaedics Ltd*' on his declaration of interests' form [48] was just that, a declaration of interest, but on this occasion, he was neither self-employed, nor being paid or contracted via this company.
- e. There clearly was a mutuality of obligation, as stated in clause 4.1 and as admitted by the Respondent's witness. There's no requirement for there to be set hours of work.

- f. The Respondent's witness' suggestion that clauses in the contract would not be enforced against the Claimant, or were not operated 'in practice', or were not the 'reality' is untenable and unsupported by corroborative evidence. The witness' evidence is hypothetical. This is not some small employer, but an NHS Trust, who can be expected to draft a contract without such now admitted flaws. Nor does the contract, as many such contracts would, specifically exclude the possibility of it being a contract of employment.
- g. A very high degree of control and absolute personal service and integration were indispensable to the Claimant's role, and a hospital could not function otherwise.
- h. The length of the contract is not determinative, nor is the lack of an interview, which may also have applied to short-term employees.
- i. As to being line-managed, it is the Claimant's evidence that Ms Garnett was his line manager and it is only today, for the first time that it is apparent to him that the Respondent did not think he was subject to line management.

Conclusions

11. The start point in my consideration is the contract and reliant on **MOD HQ Defence Dental Service v Kettle UKEAT/0308/06**, I have considered that detailed document and find that it is, having looked at the facts, the exclusive record of the parties' agreement. As that case stated:

'... there may be a carefully prepared contract, appropriate to the circumstances of the parties, made available by one party to the other at the start of their relationship and signed without question. In such a case a Tribunal will no doubt readily conclude that it was the intention of the parties, objectively ascertained, that all the terms of the contract should be contained in it.'

And I find that to be the case here.

12. If the interpretation of clauses from that contract are open to question, then, the Respondent having drafted it, the *contra proferentem* doctrine applies, with any such ambiguity being interpreted in the Claimant's favour.
13. I consider the following factors as a 'given' in circumstances such as this case:
- a. Control: it would be inconceivable that the Claimant could have carried out his role without a very high degree of control, which was clearly the case here.
 - b. Substitution: As effectively accepted by both parties, substitution was impossible in this case.
 - c. Integration: Again, the same principle applies.

d. Use of employer's equipment: again, unavoidable.

14. It seems to me that in these circumstances the Respondent wishes to have 'the best of both worlds' – to have a highly qualified and experienced surgeon working for them, subject to many terms and conditions that would normally apply to an employee, but instead labelled as a 'worker' and therefore avoiding the perceived constrictions of an employment relationship.
15. There was nothing to indicate to me (apart from vague assurances from the Respondent's witness) that if the Respondent wished to enforce any of the terms of the contract referred to, there was anything to stop them doing so.
16. As indicated by the contract and as accepted by the Respondent's witness, there was mutuality of obligation, which is the *sine qua non* of an employment relationship.
17. It may be that in circumstances where an employer, for good reasons, has no option but to exercise strict control over a worker; to oblige him to use only the employer's equipment and IT; to absolutely prohibit substitution and to require almost total integration, that then the only valid relationship is one of employment, particularly so, in this case, when there is mutuality of obligation.
18. The reality of this contract, therefore, is that it was one of either short-term or fixed-term employment, regardless of how it is titled. The Claimant was presented with a contract, into which he had no input and therefore had to 'take it or leave it'. His evidence is that nonetheless he regarded himself as an employee and I can see, from both the wording of the contract and the nature of his working relationship with the Respondent and based on his experience of previous locum work (on occasions up to six months in length), how he could conclude that. I don't consider that factors such as completing time sheets (many employees are paid by the hour); not being interviewed (a consequence of being introduced by an agency and being a short-term employee, rather than being an agency worker); not being line managed (the Claimant thought he was and was not disabused of that until this hearing); not being offered full NHS sick pay (although he was eligible under the contract for SSP) (which, again, could have been due to the short-term nature of his engagement) and not being provided set hours of work are determinative of a worker, as opposed to an employee relationship.

Judgment

19. For these reasons, therefore, I find that the Claimant was an employee of the Respondent at the relevant time and that accordingly the Tribunal has jurisdiction to hear his claim of automatic unfair dismissal.

Approved By:

Employment Judge O'Rourke

14 February 2025

Sent to the parties on:
8/3/2025

For the Tribunal Office:
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